SCI Seoul Crypto Institute

G3 Korea
Through the Crypto Transformation

An introduction to the founding purpose and policy agenda of the Seoul Crypto Institute, its organization and membership, and the people who lead it

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I. BACKGROUND

A Turning Point in the Narrative of Trade and Capital

- **Fragmentation of supply chains and payment rails:** The single global value chain (GVC) that held for three decades following the establishment of the World Trade Organization (WTO) is reorganizing into blocs under US–China strategic competition and renewed protectionism. In settlement, the USD–SWIFT clearing system now coexists with China's Cross-Border Interbank Payment System (CIPS), national wholesale central bank digital currency (CBDC) initiatives, and stablecoins. The authorship of trade settlement rules has itself become a new front in that competition
- **Divergence in the technology and intellectual property order:** The United States, building on the strength of its tech sector, controls advanced technologies by designating them strategic goods, while China is leading the open-sourcing of AI code and building open intellectual property (IP) networks intertwined with its supply chains. The reorganization of supply chains now concerns not only the movement of goods and payments but also the channels through which technology and IP flow
- **Acceleration of the AI transition:** Forecasting, procurement, contracting, and logistics in manufacturing are moving toward real-time coordination among AI agents. This creates demand for a new settlement layer capable of processing thousands of autonomous negotiations and micro-transactions per second
- **Generational change in capital market infrastructure:** Major jurisdictions are now planning in earnest for market infrastructure built on continuous trading, instant settlement, and tokenization. When the issuance, trading, custody, and clearing layers themselves are being replaced, markets that miss the transition face a net outflow of liquidity
- **Redefinition of the asset:** Land was the characteristic asset of the agricultural revolution. Equity was that of the industrial revolution, and IP that of the information revolution. Digital protocols now perform an analogous function in the

creation and distribution of value through the tokenization of all types of economically valuable assets for borderless trading in a materially cheaper, faster manner

- **Korea's choice:** Will Korea be a follower carried along by these developments, or an architect of the order that emerges from them?

> Seoul Crypto Institute (SCI) aims to be the intellectual and practical hub for translating Korea's industrial competitiveness into the rules of international trade and capital markets.

II. DIAGNOSIS

The World's Fifth- or Sixth-Ranked Manufacturing Economy, Still Passive in Global Rulemaking

Potential—Established Capacity

- **Industrial base:** Consistently ranked fifth to sixth on the Competitive Industrial Performance (CIP) Index of the United Nations Industrial Development Organization (UNIDO), with production capacity in memory semiconductors, secondary batteries, shipbuilding, automotive, and petrochemicals that is not readily substitutable among the United States and its allies
- **Demonstrated brand assets:** Sectors with established international demand, including Korean popular culture, food, and beauty
- **Retail investor base:** More than ten million individual investors, including a nearly five million-strong digital native generation in its twenties and thirties—about twenty percent of the economically active population—receptive to digital investment
- **Digital asset liquidity:** Daily digital asset turnover that has at times exceeded that of the KOSDAQ market, with measurable influence on global price formation

Gap One—Financialization: Producing Everything but Setting None of the Rules

In contemporary manufacturing, the movement of goods is inseparable from trade finance, working capital optimization, currency hedging, and receivables securitization. The clearing arrangements that govern these activities are divided between the United States and Europe, which control the USD–SWIFT system, and China's fast-growing CIPS. Transactions between AI agents are multiplying rapidly across complex manufacturing value chains, yet in Korea the case for smart contracts has scarcely been made. The result is a structural imbalance between manufacturing

and finance: Korea supplies production capacity of the highest order, while the value added by trade finance and the authority to set settlement rules accrue to incumbent financial powers.

Indicator	Standing of Korea	Implication
UNIDO CIP Index (industrial competitiveness)	5th–6th globally	Top-tier industrial capacity
Global Financial Centres Index (GFCI)	Seoul: 10th overall (reputation 5th, fintech 8th, business environment 9th)	Substantial gap relative to industrial capacity
GFCI—Financial Sector Development	Outside the top ten	Underlying financial depth constrained
GFCI—Infrastructure	Outside the top fifteen	Weak settlement and clearing infrastructure

Gap Two—Structural Undervaluation of Korea's Capital Market and Infrastructure Lag

- **Patchwork product regulation:** As the controversy over single-stock leveraged exchange-traded funds (ETFs) shows, unproductive debate over whether to authorize individual products keeps recurring. Responding to a problem of market structure through the regulation of products or services does not provide a fundamental solution
- **Divergence between manufacturing performance and market valuation:** Earnings generated by internationally competitive manufacturers are not fully recirculated into the value chain of Korean capital markets and financial industry
- **Lag in trading and settlement infrastructure:** Limited trading hours, settlement two business days after the trade date (T+2), and complex access procedures for foreign investors are increasingly misaligned with global capital flows moving toward continuous trading, instant settlement, and very low fees

Gap Three—Regulatory Ambiguity and Market Isolation

- **Limited international use of the won:** Because the won does not circulate internationally, the Korean market is reduced to a local market
- **Passive policy and shadow regulation:** Unclear regulation of new digital industries, gaps in legislation, and reliance on informal (shadow) supervisory

guidance without a statutory basis have led innovative firms to relocate to other jurisdictions

- **Market isolation:** A digital asset market cut off from global liquidity and overheating internally, evidenced by persistent domestic price premiums (the so-called kimchi premium)

> A country that ranks fifth to sixth in manufacturing remains in a dependent position in the rules of trade finance and capital markets. Closing that gap is the objective of the digital asset transition as SCI defines it.

III. VISION

G3 Korea—Architecting the Third Pole

SCI does not advance a narrative of digital asset hegemony or of exclusive competition for rank. The G3 it proposes refers not to a ranking by digital asset market size but to the direction Korea should take and the structural position it should occupy in a divided world economy.

Between two poles—the United States, with its dollar and capital, and China, with its manufacturing and a domestic-demand bloc—Korea can become a third pole by combining advanced manufacturing capacity trusted by the West with technical and regulatory infrastructure, providing neutral industrial and financial infrastructure that counterparties in either bloc can use. Digital assets are an instrument rather than an objective: the means by which Korean industrial competitiveness is carried into, and connected with, the international system.

What this third pole must offer is not supply capacity alone. Bargaining power built solely on supply capacity narrows the options Korea can offer to the supply chains in either bloc. By adding a neutral financial mechanism to its manufacturing capacity, Korea can connect fragmented supply chains within a multilateral arrangement.

	Axis 1 · Manufacturing and Trade	Axis 2 · Capital Markets	Axis 3 · Digital Asset Infrastructure
Objective	A neutral trade settlement infrastructure for AI-coordinated supply chains and a mechanism for the cross-border use of intellectual property	Full authorization of tokenized securities, building toward a comprehensive tokenized securities platform	Legal foundations for issuance, custody, and liquidity
Principal Tasks	Sector standards for agent-to-agent (A2A) and Model Context Protocol (MCP) interoperability, on-chain oracles, trade stablecoin for current account transactions, on-chain IP licensing and royalty settlement	On-chain migration of market infrastructure, continuous 24/7 trading and instant settlement, integrated listing of real-world assets (RWA) including tokenized securities	Digital Asset Special regulatory zone, legal personality for protocols, Integrated Custody Special Account (ICSA), won-denominated stablecoin
Expected Effect	Domestic retention of the value added by trade finance and technology licensing, and participation in settlement rulemaking	Correction of structural undervaluation, access for international capital, and positioning as a global hub for digital capital markets	Functional differentiation centered on innovation in issuance
Character	Growth engine grounded in the real economy	Capital recirculation engine	Enabling technical and institutional infrastructure

> Axes 1 and 2 are the core of the growth agenda SCI proposes; Axis 3 is the foundation that makes them work. The three are not separate agendas but a single, mutually reinforcing design resting upon a common technical and regulatory foundation.

III-1. AXIS 1

Manufacturing and Trade: Reinforcing Industrial Competitiveness Through Digital Settlement Rules

SCI proposes combining Korea's proven strengths (advanced manufacturing and the cultural industries among them) with core financial infrastructure built on digital asset technology, so that they continue to grow in international markets.

1. Agentic Supply Chains: The New Settlement Demand Created by the AI Transition

Manufacturing is moving beyond the automation of individual processes toward agentic supply chains, in which forecasting, procurement, contracting, and logistics across the chain are coordinated in real time among autonomous AI agents. If a raw material shortage arises at one supplier, agents acting for each firm simulate and negotiate unit price, quality, and transit time with alternative suppliers and conclude contracts without human intervention.

The resulting loop—perceive, reason and simulate, negotiate and act, learn—runs continuously and depends on interoperability implemented through two protocol frameworks: the Model Context Protocol (MCP), which connects AI models to external data, and agent-to-agent (A2A) protocols.

- **An agentic infrastructure layer is required:** Enterprise resource planning (ERP), supply chain management (SCM), and manufacturing execution systems (MES), together with logistics APIs and Internet of Things (IoT) sensors, are not sufficient on their own. A trust layer is needed to establish which firm an agent acts for, what authority it has been delegated, what expenditure limits apply, and under what

conditions human approval is required—comprising agent identity, authorization policy, approval limits, and audit logging

- **Governance is a precondition, not an addition:** Expanding autonomous decision-making raises questions of liability for excess inventory, line stoppages, and misdelivery. Addressing them requires override and kill-switch mechanisms, transaction approval limits, clear contractual liability structures, and preserved on-chain audit trails

The programmable settlement layer is accordingly the execution layer that performs settlement on the basis of the identity, authority, contractual condition, and verification data generated by the agentic infrastructure.

2. Functional Separation of Current and Capital Account Transactions: A Design That Addresses Supply Chain Fragmentation

The most consequential contribution of a programmable settlement layer is the functional separation of current account transactions (for payments for goods and services) from controls on capital accounts (for investment and lending). Financial sanctions and exchange controls generally operate by constraining the capital account through correspondent banks; when geopolitical division pushes such controls to their fullest extent, current account transactions—the settlement of physical trade—are disrupted in turn. The programmability of smart contracts addresses this structurally.

- **Purpose-coded settlement:** Payment executes only when an on-chain invoice cryptographically linked to the goods specification, bill of lading, IoT-verified quality inspection data, agent authority scope, and firm-level approval policy has been validated
- **Capital account containment with current account continuity:** Speculative cross-border capital movement and illicit outflows remain subject to strict control, while settlement arising from physical trade in manufactured goods continues without interruption
- **Intermediation and buffering among heterogeneous settlement networks:** Dollar stablecoins, CIPS, national wholesale CBDC arrangements such as Project mBridge, and decentralized digital assets can be settled and exchanged in real time on a common ledger-based exchange layer

Settlement network	Clearing and settlement party	Settlement speed	Risk of geopolitical weaponization	Compatibility with agent-initiated settlement
Traditional SWIFT	Major Western correspondent banks	2–5 days, high cost	Very high; capital and current accounts blocked together	Not feasible; limited APIs, manual intervention
CIPS (Cross-Border Interbank Payment System)	People's Bank of China and designated banks	1–2 days, moderate cost	High; subject to RMB dominance	Limited; centralized control
mBridge (wholesale CBDC platform)	Central banks of participating states	Real-time payment-versus-payment (PvP)	Moderate; requires intergovernmental political agreement	Partial; permissioned ledger
Agentic settlement layer	Distributed ledger and smart contracts	Immediate, very low cost	Minimal; neutral distributed layer	High, assuming MCP/A2A integration with agent identity and authorization policy

3. National Policy Agenda: Establishing a Neutral Financial Zone for Supply Chains

- **Sector-level A2A/MCP standards:** Data exchange and negotiation protocols among agents, defined first in the core sectors in which Korea holds leading positions, including semiconductors, secondary batteries, and automotive
- **Agent identity and authorization standards:** Standards for agent identity, credentials, mandates, and approval policy, so that autonomous action remains within a firm's liability structure
- **Verifiable on-chain oracle infrastructure:** A distributed oracle network providing cryptographic attestation of factory IoT sensor readings, logistics positioning, and quality inspection results
- **A trade stablecoin exclusively for current account transactions:** A purpose-coded instrument programmatically linked one-to-one to trade invoices and logistics data, denominable in multiple currencies including the won, designed to eliminate capital flight concerns

- **Modernization of the foreign exchange framework:** Legal recognition of high-speed, agent-initiated settlement, coupled with full supervisory visibility over foreign exchange flows through real-time on-chain audit trails
- **A neutral settlement layer spanning the United States and China:** Combining Korea's standing as an advanced manufacturing economy trusted by the West with its distributed ledger and fintech infrastructure to offer a global settlement hub in which firms in either bloc can clear current account trade payments without exposure to sanctions or capital control risk

By going beyond just making and selling products to taking the lead in the digital platforms and rules that span global trade and settlement, Korea can turn that position into national wealth.

III-2. AXIS 2

Capital Market Transition: A Roadmap for the General Authorization of Tokenized Securities

If the wealth generated by manufacturing is not recirculated through capital markets, the growth cycle does not complete. SCI proposes to address the structural problems of the Korean capital market not through the adjustment of individual product rules but through the transition of market infrastructure itself, accelerating the third phase of the Policy Direction for Tokenized Securities announced by the Financial Services Commission (FSC) in September 2026.

1. Diagnosis: Structural Problems That Product-Level Regulation Cannot Resolve

- **Recurring product-level debate:** Rather than disputing whether individual products such as single-stock leveraged ETFs should be authorized, or whether particular types of securities may be tokenized in the first phase of the tokenized securities policy, attention should turn to the new value that the tokenization of securities can deliver to the economy and to investors
- **Divergence between manufacturing performance and market valuation:** World-class manufacturing results are inadequately reflected in capital market valuation, which constrains the cost of capital and reinvestment capacity of firms
- **Generational lag in infrastructure:** Limited trading hours, T+2 settlement, and complex pre-registration procedures for foreign investors are misaligned with global capital flows moving toward continuous 24/7 trading and instant settlement

2. Proposal: On-Chain Migration of Market Infrastructure Itself, Beyond Piecemeal Tokenization Experiments

- **Scope of migration:** The market infrastructure layers of custody, clearing, and settlement (including stablecoins) are migrated to an on-chain structure, rather than tokenizing individual securities as isolated pilots, and many types of securities are tokenized through the improvement of related rules and legislation
- **Tokenization of government and corporate bonds:** With close attention to the major changes that the tokenization of dollar-denominated US Treasury securities will bring to international financial markets, the issuance of tokenized government and corporate bonds is authorized in order to promote low-cost, efficient funding and token-collateralized lending that puts idle assets to work
- **Tokenization of listed shares:** SCI proposes authorizing the tokenization not only of unlisted shares but also of shares listed on the Korea Exchange (KRX), for which international demand is strong, and beyond these of the KOSPI index. With reference to use cases abroad, the legal nature of shares and the rights of shareholders are preserved while the shares themselves are tokenized, including the on-chain execution of corporate actions such as capital increases, capital reductions, and dividends. Because the substance of investor rights is unaffected, the infrastructure can be replaced while consistency with commercial and capital markets legislation is maintained
- **Redefinition of market participant roles:** The functions of the stock exchange, the central securities depository, and brokerages are reallocated to the on-chain structure, with existing supervisory arrangements and institutional trust carried forward as far as possible

3. Expected Effects

- **Continuous 24/7 trading and T+0 settlement:** Margin and collateral immobilized by settlement lag are released, improving capital efficiency across the market and structurally reducing settlement risk
- **Market access for international investors:** In combination with the ICSA structure described under Axis 3 (below), this opens a route for foreign institutions to access the domestic market without complex pre-registration procedures

- **A common venue for a broad range of asset classes:** RWA such as bonds, funds, real estate, IP, and Korean content revenue rights can be issued and traded on the same infrastructure as equities, expanding the range of assets the capital market can accommodate
- **Investor choice and broader participation:** Wider opportunities for general investors to invest in high-priced blue-chip shares
- **Faster, automated exercise of shareholder rights:** With corporate actions conducted on-chain, the shareholder register is updated in real time, voting and dividend distribution become faster and automated, and governance transparency improves

4. Phased Transition

Phase	Scope	Principal requirements
Phase 1 · Parallel operation	A small number of pilot securities recorded on both the existing and the on-chain register	Regulatory sandbox authority, reconciliation of registers, incident response arrangements
Phase 2 · Partial migration	First applied to newly listed securities and selected market segments; commencement of RWA listing	Amendment of Capital Markets Act and Commercial Act; redefinition of depository and clearing institutions' roles
Phase 3 · Full migration	On-chain migration of listed securities, including all KOSPI-listed issues, and commencement of continuous 24/7 trading	Linkage with international depositories; alignment with international standards

5. Risks and Preconditions

- **Investor protection:** Safeguards addressing overheating and retail investor fatigue under continuous trading, and the treatment of rights under fractional holdings, are designed alongside the migration rather than after it
- **System stability:** A failure during the replacement of market infrastructure would have far-reaching consequences; an adequate parallel operating period and verified recovery arrangements are preconditions
- **International alignment:** Without linkage to international depositories, clearing institutions, and standards, foreign capital inflow will remain limited in practice

- **Building confidence step by step:** Full migration is the objective, but each phase proceeds only on the basis of published verification results and demonstrated market consent

6. Convergence with Axis 1: One Infrastructure, Two Engines

When the manufacturing and trade settlement layer and the tokenized capital market infrastructure are built on a common technical and regulatory foundation, receivables and trade finance assets held by exporters can be mobilized directly in capital markets. The completion of a single on-chain financial infrastructure spanning production, trade, and capital markets would constitute the transition that SCI advocates.

Tokenizing the assets of traditional industries: Beyond this, Korea should foster platforms that tokenize the valuable assets created along the value chains of its strongest traditional industries (manufacturing, content, and infrastructure), including their accumulated know-how, and connect them directly to global markets.

III-3. AXIS 3

The Digital Asset Ecosystem as Infrastructure for Asset Tokenization

Neither of the preceding axes operates without legal foundations for issuance, custody, and liquidity. Axis 3 is not an objective in itself but the base upon which Axes 1 and 2 rest.

1. Issuance: Making Korea the Place Where Digital Innovation Begins

The digital asset value chain divides into issuance and design, trading and distribution, and custody and settlement. Trading and custody are determined largely by underlying currency strength and capital scale; issuance is determined by the flexibility of institutional design and the diversity of available underlying assets. Korea's comparative advantage lies in the latter, which points to functional complementarity with the United States. What is needed:

- **A dedicated regulatory zone:** Negative-list regulation, tax incentives, and related measures to establish Korea as a hub for digital asset issuance
- **Tokenization of all assets (RWA):** Legal and institutional arrangements for the on-chain issuance and distribution of all assets, including Korean content, real estate, IP, currency, and shares—directly connected to the expansion of asset classes under Axis 2

2. ICSA: A Technical Means of Opening Access to the Korean Won

The Integrated Custody Special Account (ICSA) for foreign investors is an omnibus special account opened in the name of a global custodian that complies with Korean regulation, through which the assets of multiple foreign investors are administered on a consolidated basis.

- **Problem:** Difficulty in opening exchange accounts for domestic corporations, and in opening domestic exchange accounts and repatriating proceeds for foreign investors, constitutes a structural barrier to international capital inflows
- **Approach:** Indirect access to the domestic market for foreign investors through an ICSA held by a global custodian, with the custodian assuming responsibility for know-your-customer (KYC) and anti-money-laundering (AML) compliance and for investor-level asset segregation, and the supervisory authority retaining aggregate visibility at the account level
- **Effect:** International capital draws on domestic liquidity while its impact on the domestic real economy and capital account remains contained. Combined with the tokenized exchange under Axis 2, this becomes the channel for indirect foreign access to the Korean capital market

3. Liquidity and Institutional Transition

- **A won-denominated stablecoin:** A digital won fully backed by bank deposits, providing a basis for international use of the currency and for sovereignty in decentralized finance (DeFi), designed on the same foundation as the trade stablecoin under Axis 1
- **Transition pathways for financial institutions and corporations:** Entry of domestic financial institutions into digital asset markets and international operations, with growth roadmaps for domestic corporations making the same transition
- **Regularization of market making:** A licensing regime for legitimate liquidity providers, clearly distinguished from market manipulation
- **Digital asset prime brokerage:** Authorization for prime brokers such as brokerages and banks to provide custody, lending, and execution to institutional clients on an integrated basis
- **Spot ETFs and indices:** Development of index products and authorization of ETFs covering a range of digital assets beyond bitcoin
- **A jurisdiction-neutral platform:** Institutional design that combines domestic liquidity with a receptive regulatory framework in order to attract international digital asset liquidity and develop the digital asset ecosystem into a growth industry

IV. REFORM

From the Regulation of Individual Services to a Long-Term National Agenda

1. Beyond Legislative and Institutional Deadlock: Elevation to a National Agenda

The current delay in institutional reform cannot be attributed solely to the caution of regulators and the administration or to inaction by the legislature. SCI begins by diagnosing the underlying reason that Korea, despite the interest of the principal participants in the global digital asset industry, has not developed into a center of new digital industries. The industry and its community share responsibility for the absence of a comprehensive and systematic analysis of the economic value and industrial effects of integrating digital assets into the Korean economy and financial system. A long-term national vision grounded in such analysis needs to be established and shared among the private sector, the government, and the National Assembly.

2. The Case for Executive-Led Rulemaking

In areas in which legislation has been deadlocked over an extended period, administrative rulemaking within the limits of existing law, a shift to negative-list regulation, and regulatory sandboxes that operate as intended offer a realistic and expeditious route. The long-term policy direction for tokenized securities announced by the FSC in September 2026 is one positive example. SCI will conduct research toward, propose, and urge a long-term and comprehensive policy declaration by the administration that extends beyond tokenized securities to all three of the axes it proposes. Under negative-list regulation, the aim is to permit innovative activity as fully as possible while applying strict safeguards against the risks and incidents it may bring.

3. The Case for Comprehensive Reform, and Its Direction

- **Beyond piecemeal legislation:** The current approach, absorbed in the enactment and amendment of individual statutes—a digital asset basic act, stablecoin legislation, tokenized securities provisions—overlooks the fact that these are inherently interconnected as a single economic, financial, and asset system. As a result, none of them is easily resolved, and each has taken far longer than expected
- **Consistency with foundational law:** The digital asset transition requires supplementing the foundational legal framework, including civil and commercial law and the law of civil procedure and civil execution. Without consistency with foundational doctrine—the concepts of real and personal rights, contract formation and performance, legal personality, security interests, and insolvency—individual statutes alone cannot institutionalize the ecosystem, nor will they be durable. The capital market migration under Axis 2 in particular requires direct treatment of shareholder rights under commercial law and of the custody and settlement provisions of capital markets legislation. Given the breadth of this work, SCI will set priorities among them strategically
- **Cross-border institutional design:** Arrangements under which Korean jurisdiction can be recognized over on-chain services that operate across borders, so that competitiveness derives from regulatory reliability rather than regulatory arbitrage

V. DELIVERY

A Standing Cross-Sector Deliberative Body on Digital Asset Regulation—and the Role of SCI

- **Deliberation on reform and an implementation structure focused on the effects of innovation:** So that deliberation does not conclude with a single event, SCI has adopted as the principal objective of its inaugural seminar the establishment and launch of a cross-sector deliberative body on digital asset regulation (in the form of a task force, forum, or consultative body), proposed by the industry and private sector experts and joined by the government, the National Assembly, and foreign firms, associations, and experts with an interest in the Korean market and its regulation
- **A single national vision across ministerial lines:** The authority currently distributed among the FSC; Ministry of Finance and Economy; Ministry of Science and ICT; Ministry of Trade, Industry and Resources; Ministry of Justice; Bank of Korea; and others would be respected, while these bodies are convened in a consultative body that establishes a single national vision and produces an integrated roadmap spanning manufacturing, trade, capital markets, and foreign exchange
- **The role of SCI:** SCI would participate as proposer of and principal advisory institution to the deliberative body, taking a leading role in preparing the detailed roadmap and supporting its implementation
- **A standing consultative channel:** The deliberative body would be made a standing, regularly convened forum comprising government, the National Assembly, industry, and academia, with continuous monitoring of and feedback on the government's digital asset and financial policy

VI. OPERATING MODEL

A Think-and-Do Tank Integrating Theory, Practice, and Policy

SCI is not a research institute alone. It is a community of practitioners that brings about change.

- **Research Council** (policy, finance, technology, media, academia, law, and other fields)
  - Development of the analytical basis and workable policy options for Korea to take a leading position in the three axes set forth above
  - Detailed legal analysis and preparation of draft legislative instruments for a regulatory framework receptive to digital assets
  - Research on consistency across civil, commercial, and capital markets law, and proposed directions for enactment and amendment
- **Council for Regulatory and Policy Improvement** (Industry Council)
  - To identify sector-specific operational constraints and to conduct proof-of-concept programs, the Council forms and operates bodies such as:
    - A consortium on agentic trade—trade coordinated by AI agents—comprising major manufacturing and trading firms
    - A capital market tokenization working group comprising exchanges, brokerages, and depository institutions
    - Developing Korea’s cultural content into scalable industries and platforms
- **Global Advisory Council** (part of the Advisory Board)
  - Former senior regulators, protocol foundations, international venture investors, industry associations, and research institutions
  - Review of consistency with international standards and connection to international networks

> SCI maintains an implementation framework for legislative and administrative reform suited to Korea's particular regulatory environment.

- **Regulatory environment for digital assets and financial services**
  - Continuous monitoring of and feedback on the government's digital asset and financial policy
  - Digital asset and financial policy models consistent with Korea's economic growth
  - A regular consultative channel across government, the National Assembly, industry, and academia, with proposals for regulatory improvement and policy
- **Cross-border institutional design grounded in Korean jurisdiction**
  - Research on the industrial effects of cross-border institutional design, under which Korea can serve as the governing jurisdiction for on-chain services even when, unlike in traditional industries, their personnel and physical facilities are not located in Korea
  - Research on regulatory zone models and on the structure of digital asset investment markets
  - A long-term roadmap for administrative and legislative reform

VI. OPERATING MODEL — MEMBERSHIP AND GOVERNANCE

A Structure That Joins Research with Operational Demand

The operating model set out in the preceding section takes effect only when it is supported by members and standing bodies. SCI admits as full members both the individual experts who conduct its research and the corporations that encounter the constraints of the existing framework directly in their operations, and it provides standing bodies in which the two engage.

1. Membership

Membership comprises individual members (Research Fellows and General Members) and Corporate Members (legal entities). All hold voting rights in the General Assembly, but their activities and the bodies in which they participate are distinct. The distinction is designed to meet two requirements simultaneously: the independence of research and the incorporation of operational demand.

(1) Individual Members—(a) Research Fellows

- **Profile:** Individual experts appointed from policy, law, finance, technology, industry, media, academia, and other fields
- **Principal activity:** Research on the institutional and policy questions raised by the digital asset transition
- **Body:** Participation in the Research Council, conducting research within its divisions
- **Outputs:** Policy research papers, policy proposals, draft legislative instruments, contributions to white papers, together with presentations and discussion at seminars and public hearings
- **Appointment and term:** Appointed by resolution of the Board for a term of two years, renewable. Reappointment is considered on the basis of research output and participation

(b) General Members

- Individuals who share the Institute's purpose and wish to take part as members and to support it

(2) Corporate Members

- **Profile:** Corporations in manufacturing, trade, finance, securities, content and cultural industries, exchange operation, and distributed ledger technology that encounter the constraints of the existing framework directly in their operations
- **Principal activity:** Identification of the institutional and policy requirements of markets and firms
- **Body:** Participation in the Council for Regulatory and Policy Improvement, including its sector consortia, through which identified requirements are submitted as research subjects. Corporate Members also provide feedback on the research and policy output of the Research Council, offer proposals and recommendations on implementation, and take part in proof-of-concept programs
- **Outputs:** Registers of regulatory constraints and operational obstacles, proposals for institutional reform, and reports on the results of proof-of-concept programs

	Research Fellows (individual members)	Corporate Members
Eligibility	Individual experts in policy, law, finance, technology, industry, media, and academia	Corporations in manufacturing, trade, finance, exchange operation, and technology
Principal activity	Research on institutional and policy questions	Identification of the institutional and policy requirements of markets and firms
Body	Research Council	Council for Regulatory and Policy Improvement
Nature of contribution	Design of the remedy—what should change, and by what means	Definition of the problem—what is constrained, and why
Outputs	Research papers, policy proposals, draft instruments	Reform proposals, participation in proof-of-concept programs

(3) Obligations Common to All Members

- **Declaration of interests:** Members declare their interests on admission or appointment and annually thereafter, and are excluded from deliberation on matters in which they hold a direct interest

- **Independence of research:** Corporate Members may propose subjects for research; they do not participate in determining the conclusions of that research or the content of policy recommendations
- **Restriction on use of the Institute's name:** The name of the Institute and its research output are not used for the commercial or promotional purposes of individual member firms

2. Governance

The Institute is organized in five tiers: deliberative bodies, office holders and advisers, executive and oversight functions, standing councils, and funding.

Tier	Body	Function
Deliberative	General Assembly	Supreme deliberative body comprising all members. Amendment of the articles of association, appointment of officers, approval of budget and accounts
	Board of Directors	Standing decision-making within the authority delegated by the General Assembly. Approval of the work program, appointment of Research Fellows, approval of external positions
Representation and Advisory	President and Vice Presidents	Representation of the Institute and direction of external negotiation and policy proposals. Vice Presidents hold responsibility for individual axes
	Advisory Board	Comprises domestic and international experts from politics and government, academia, the legal profession, and industry, who advise on the Institute's direction. The Global Advisory Council is made up of seasoned experts from Korea and abroad
Executive and Oversight	Steering Committee	Annual operations, adoption and prioritization of research subjects, coordination among bodies
	Auditor	Audit of accounts and administration, reporting to the General Assembly independently of the Board
	Secretariat	Permanent executive staff. Research support, external relations, membership administration, finance, and communications

Tier	Body	Function
Councils	Research Council	Standing research body in which Research Fellows conduct work through divisions
	Council for Regulatory and Policy Improvement	Standing body in which Corporate Members identify requirements and conduct proof-of-concept work
Funding	Development Committee (corporate and individual supporters; members and non-members)	Development of research funding and administration of the Institute's supporter network

(1) Deliberative Bodies—General Assembly and Board of Directors

- **General Assembly:** The supreme deliberative body, comprising all Research Fellows, General Members, and Corporate Members. It resolves on the adoption and amendment of the articles of association, the appointment and removal of officers, the approval of the budget and annual accounts, and the expulsion of members. As SCI is an incorporated association, the General Assembly is a body required by law
- **Board of Directors:** Conducts the standing governance of the Institute within the authority delegated by the General Assembly, including the annual work program and budget, the appointment of Research Fellows, final approval of principal research findings and external policy positions, and admission of Corporate Members

(2) Office Holders and Advisers—President, Vice Presidents, and Advisory Board

- **President:** Represents the Institute externally, directs policy proposals to and negotiation with government, the National Assembly, and industry, and presides over the General Assembly and the Board
- **Vice Presidents:** Support the President and hold defined areas of responsibility, allocated across Axis 1 (manufacturing and trade), Axis 2 (capital markets), Axis 3 (digital asset infrastructure), and external relations
- **Advisory Board:** Comprises domestic and international experts from politics and government, academia, the legal profession, and industry, providing counsel on the Institute's direction and a basis for its external credibility. The Global Advisory Council described in Section VI (former senior regulators, protocol foundations,

international venture investors, and think tanks) forms part of the Advisory Board and is composed of experienced and insightful experts from Korea and abroad

(3) Executive and Oversight—Steering Committee, Auditor, and Secretariat

- **Steering Committee:** The operational center of the Institute, coordinating between the Research Council and the Council for Regulatory and Policy Improvement. It reviews requirements submitted by the latter and adopts them as research subjects, determines priority and resource allocation, and settles the timing and manner of publication
- **Auditor:** Audits the accounts and the conduct of business and reports directly to the General Assembly. The Auditor is appointed independently of the Board
- **Secretariat:** Permanent executive staff under a Secretary General, responsible for the scheduling and quality management of research, external relations with government and the National Assembly, membership administration, finance, publication, and communications

(4) Standing Councils—Research Council and Council for Regulatory and Policy Improvement

- **Research Council:** The body in which Research Fellows conduct research, organized in divisions corresponding to the three axes and to the legal foundations of the program
  - Manufacturing and trade settlement division—sector A2A/MCP standards, on-chain oracles, trade stablecoin for current account transactions
  - Capital markets division—on-chain migration of market infrastructure, continuous trading and instant settlement, integrated RWA listing
  - Tokenization of intellectual property across industries (on-chain IP licensing and royalty settlement)
  - Digital asset infrastructure division—dedicated regulatory zone, legal personality for protocols, ICSA, won-denominated stablecoin
  - Legal foundations division—consistency across the legal framework as a whole, including civil, commercial, and capital markets law; preparation of draft instruments

  - International standards division—review of consistency with international standards and engagement with foreign regulators and organizations
- **Council for Regulatory and Policy Improvement:** The body in which Corporate Members identify the institutional and policy requirements of markets and firms. The agentic trade consortium and the capital market tokenization working group described in the Operating Model section operate as the Council's sector groups
  - Manufacturing and trade group—identification of regulatory constraints in supply chain settlement, trade finance, and technology licensing; proof-of-concept programs
  - Finance and capital markets group—submission of tokenization subjects by exchanges, brokerages, and depository institutions
  - Digital assets and technology group—documentation of operational constraints in issuance, custody, and liquidity

(5) Funding—Development Committee

- **Function:** Raises funds for medium- and long-term research and international engagement beyond what membership dues cover, and manages the Institute's network of supporters under its support guidelines
- **Safeguards:** Support is not conditioned on any particular research conclusion, and the composition of the Institute's funding, together with the scale of principal contributions, is disclosed in the annual report

3. From Identified Requirement to Institutional Change

The membership and governance structure exists to sustain the following cycle. Its continuity is the substantive basis on which SCI designs itself as a think-and-do tank.

Identification: Corporate Members submit regulatory constraints and institutional requirements through the Council for Regulatory and Policy Improvement

Adoption: The Steering Committee reviews the submission, adopts it as a research subject, and assigns priority

Research: The relevant division of the Research Council prepares the analysis, institutional design, policy development, and draft instruments

Review: Internal review and conflict-of-interest screening precede publication; the Board approves the external position

Submission: The President and the Secretariat present the position to, and consult with, government, the National Assembly, cross-government bodies, and associations

Testing and return: Results from sandbox and proof-of-concept programs are collected by the Council and returned to the cycle as subjects for further analysis

4. Supporting Arrangements

- **Ethics and conflict-of-interest rules:** Digital asset policy is a field in which researchers and member firms hold direct interests. Procedures for declaration, disclosure, and exclusion from deliberation are set out in the Institute's rules, together with an ethics committee under the Board or an equivalent review procedure
- **Editorial review:** Reports issued in the name of the Institute undergo peer review and verification of fact before publication. The quality of its policy work is the Institute's principal asset
- **Disclosure of funding structure:** The composition and relative weight of membership dues, philanthropic support, and commissioned research are made public annually, so that the independence of the Institute's research can be assessed externally
- **Early-career fellowship program (proposed):** Appointment of graduate students and early-career researchers as fellows, in order to broaden the research base and develop specialist expertise in digital asset regulation

> Members bring the Institute the questions it works on; its governance secures the route by which those questions become institutional change. The pairing of a Research Council that designs remedies with a Council for Regulatory and Policy Improvement that identifies and tests operational requirements is the structural condition that makes SCI a think-and-do tank rather than a research institute alone.

VII. ROADMAP

Four Phases for Turning the Vision into Reality

Phase 1—Foundation (to 18 months)

- Establishment of the Institute and public release of the G3 Korea Transition White Paper 1.0
- Proposal for a cross-sector deliberative body on digital asset regulation, with SCI participating in its design and as advisory institution
- Launch of A2A/MCP standards work in the semiconductor, secondary battery, and automotive sectors, and formation of the agentic trade consortium
- Start of research on a roadmap for the general authorization of tokenized securities, and inauguration of the capital market tokenization working group with the participation of principal stakeholders
- Commencement of research on consistency with civil, commercial, and capital markets law, and pursuit of special regulatory zone legislation
- Commencement of legal research on the tokenization of intellectual property—the legal effect of on-chain registration of rights, smart contract licensing, and criteria for treating royalties as current account settlement

Phase 2—Institutional Breakthrough (1–3 years)

- Sandbox operation of a purpose-coded trade stablecoin and associated legislative amendment
- Operation of an on-chain settlement zone dedicated to current account transactions, with supervisory visibility over foreign exchange flows
- Proof-of-concept program for on-chain IP licensing and royalty settlement, covering manufacturing process licenses and Korean content rights
- Start of parallel operation of on-chain and existing registers for pilot KOSPI-listed securities (Phase 1 of the market migration)

- Commencement of tokenized listing for newly listed securities and RWA (start of Phase 2 of the market migration)
- Commencement of an ICSA sandbox pilot between global custodians and domestic banks
- Convening of a global digital asset summit in Seoul to strengthen international partnership around SCI's vision

Phase 3—Completion of the First Stage of the Transition (3–5 years)

- Full migration of all KOSPI-listed securities to a tokenized securities exchange and commencement of continuous trading
- A route of entry into the domestic market for foreign institutional investors (full implementation of the ICSA structure)
- Declaration of a neutral financial zone for supply chains in international trade and leadership in the associated international standard-setting
- Operation of a multilateral open IP network and international standardization of supply chain packages
- Completion of a single on-chain financial infrastructure spanning manufacturing, trade, and capital markets

Phase 4—Sustaining the Transition (from year 6)

G3 Korea Through the Crypto Transformation

From a country that makes things to one that writes the rules.

This is SCI's vision for Korea's future.

SCI will work to ensure that excessive prohibitions and controls, and unclear shadow regulation, no longer hold back innovation. The risks of new technologies and industries must be weighed against the value and opportunities they create, so that future growth is not sacrificed in the name of risk management.

Through cross-border institutional design, SCI will lay the groundwork for Korea's industrial strength to shape, at last, the rules of world trade and capital markets.

SCI invites the government, the National Assembly, industry, and the expert community to join in this work. Until Korea takes its place as a third pole of the global economic order, SCI will commit itself fully to leading that effort.

VIII. PEOPLE

Research Fellows

Drawn from the judiciary and the legal profession, academia, media, exchanges, wallet companies, and international capital markets.



President **Jong-Baek Park**

Partner, Bae, Kim & Lee LLC

Has advised on distributed ledger projects, digital assets, security tokens, decentralized finance, and decentralized autonomous organizations since 2016. Has participated in the Financial Services Commission's public–private task force, a National Assembly legislative drafting task force, and commissioned legislative research for the Ministry of Science and ICT. Member of Global Blockchain Convergence and of Free Software Foundation Europe.



Vice President **Joong-Hyuk Chang**

Director, Blockchain Economy Research Institute

Has worked as a consultant in the convergence of information technology, telecommunications, and media. Co-founded Atomrigs Lab, the first Korean company specializing in secure multi-party computation for distributed ledgers, where he served as chief crypto-economist. Founded and directs the only private research institute in Korea dedicated to crypto-economics.



Vice President **Jun-Ki Hong**

Chief Executive Officer, VOGO Fund Labs

Worked in capital markets and derivatives in New York and Hong Kong, and served as country head for Korea at UBS Group and as head of Korea and Asia for Cumberland DRW. Has advised on economic policy for the Office of the President and the Ministry of Economy and Finance. Currently leads VOGO Fund Labs, which researches asset management techniques using artificial intelligence and distributed ledger technology.



Vice President **Hyoung-Goo Kang**

Professor, Hanyang University School of Business

Previously with the quantitative strategy team of Lehman Brothers Asia and with Accenture. Founded and exited Handa Partners, a machine learning–based fintech company. Professor in the Department of Computational Finance and Financial Engineering at Hanyang University; has served as an advisory member to the Financial Supervisory Service, as an adviser to a National Assembly digital asset task force, and as president of the Korean Financial Management Association (2024).



Secretary General **Joon-Hyun Kim**

Chief Executive Officer, AIBIX Lab

Formerly executive vice president for communications at JTBC, executive director of communications at Hanssem, and a reporter with the JoongAng Ilbo and JTBC. Led a digital asset project while at JTBC. Currently president of a public relations agency and chief executive of AIBIX Lab, which operates AIBIX Score, an index of brand competitiveness in artificial intelligence.



Soo-Hyun Ahn

Professor, Hankuk University of Foreign Studies Law School

Has served on the dispute mediation, sanctions review, supervisory advisory, and blockchain advisory committees of the Financial Supervisory Service; on the Financial Development Review Committee of the Financial Services Commission; and as a legal adviser to the Bank of Korea on central bank digital currency. Currently a non-executive director of the Digital Asset Protection Foundation, an ombudsman of the Financial Supervisory Service, and a member of the Financial Hub Promotion Committee of the Financial Services Commission, advising widely on financial consumer protection, digital finance, and financial policy and industry.



Chul Choi

Professor, Hankuk University of Foreign Studies Law School; Solicitor (England and Wales)

Specializes in intellectual property finance and has taken part in policy research and projects for the Presidential Council on Intellectual Property, the Ministry of Intellectual Property, the World Intellectual Property Organization (WIPO), KIPnet, IPFF, and other institutions in Korea and abroad. Has taught intellectual property law and international finance law at Hankuk University of Foreign Studies for twenty years; before joining the university, practiced international finance as a solicitor at the London head office of Allen & Overy.



Ki-Eok Choi

President, Hans Economy

Formerly president and chief editor of Yonhap Infomax. Author of some ten books on foreign exchange, fixed income, and financial markets. While at Yonhap Infomax, pursued a memorandum of understanding with Korea University toward the establishment of a digital asset rating company, established a distributed ledger division, and organized conferences, and launched a cable television channel specializing in digital assets.



Philip Gant

Research Director, Regulatory Ecosystems Group

Associate of the Asia Center at Harvard University. Previously head of APAC for the Global Blockchain Business Council and a postdoctoral fellow at Yale University. Trained as a legal historian of East Asia; holds a bachelor's degree from Yale University and a doctorate from Harvard University.



Chang-Ho Jin

Deputy President and Head of Management Strategy, EnCore

Worked for nineteen years as a digital and technology consultant and partner at Accenture, EY, and BCG. Led distributed ledger consulting engagements for some fifty companies and institutions and served as project manager for the Bank of Korea's central bank digital currency consulting engagement. Currently leads development of artificial intelligence, data, and distributed ledger solutions at SK Group.



Hyo-Jin Lee

Adjunct Professor, Korea University Graduate School of Information Security

Brings more than thirty years of public service, including at the Ministry of Information and Communication and as head of the Economic Coordination Office at the Office of the Prime Minister, together with broad expertise in digital asset regulation and in distributed ledger technology and industrial policy. At the Office of the Prime Minister, coordinated national policy on the economy and finance and on information and communications technology and artificial intelligence. In 2021, worked with the Financial Services Commission, the Ministry of Science and ICT, and other bodies to formulate the government-wide plan for the management of digital asset trading, and helped establish the regime through implementation of the reporting system for virtual asset service providers.



Junhaeng Lee

Chief Executive Officer, Brightmount

Founder of Streami, established in 2015 among the first generation of distributed ledger companies in Korea, which he built into GOPAX, one of the five principal won-denominated digital asset exchanges. Following the collapse of FTX, he committed personal assets to compensating affected customers and sold the business in 2023 on terms providing for their full repayment. Led the establishment of the Global Blockchain Policy Council, the predecessor of SCI.



Seok-Jun Lee

Presiding Judge, Suncheon Branch, Gwangju District Court

Specializes in financial law and the law of digital assets, and conducted research on judgments in these fields at the Supreme Court. Has lectured on legal questions concerning digital assets at the Judicial Research and Training Institute, the Seoul Southern District Court, and elsewhere. Formerly a judicial research officer in the commercial division of the Supreme Court.



Hyun-Ok Oh

Professor, Hanyang University College of Engineering

Founder of Zkrypto, which develops distributed ledger and privacy-preserving technologies. Developed a distributed ledger–based electronic voting system using zero-knowledge proofs and operates the online voting service used by the National Election Commission. President of the Korean research society on zero-knowledge proofs.



Moon-Koo Park

Deputy President, Caspian Group

Studied international economics and business administration, and advised on strengthening the international competitiveness of Korean industry as a trade specialist. His work addresses the creation of new growth capacity by combining behavioral science with the geoeconomically driven reconfiguration of global industrial value chains and with AI-led digital innovation. Designs development roadmaps for resource-rich economies and for economies with underdeveloped manufacturing.



Min-Ho Yoo

Chief Strategy Officer, IoTrust

Began his career as an embedded security developer and co-founded IoTrust in 2017. Leads strategy for DCENT, a consumer wallet, and DCENT Enterprise, an enterprise wallet, having worked in digital asset wallets for a decade. Runs a study group on distributed ledger technology.

SCI Advisers



Se-Hyun Oh

Visiting Professor, Seoul National University Graduate School of Engineering Practice

Formerly a senior vice president at KT and an executive vice president at SK Telecom. Has served on the deliberative committee of the Presidential Advisory Council on Science and Technology and as president of the Open Blockchain and DID Association. A regular member of the National Academy of Engineering of Korea, active in its technology management and policy division.



Yesha Yadav

Professor, Vanderbilt Law School

Specializes in financial market regulation, securities regulation, and corporate bankruptcy, with a focus on market structure and digital assets; her research on US Treasury market regulation won Vanderbilt University's Chancellor Research Award. Has served on the Technology Advisory Committee of the Commodity Futures Trading Commission (CFTC), including as vice-chair of its Distributed Ledger Technology Subcommittee, and sits on the Board of Advisors of the Digital Dollar Project. At Vanderbilt, co-organized with the Blockchain Association the inaugural Digital Assets and Emerging Technology Policy Summit.

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From a country that makes things to one that writes the rules. SCI will lay the groundwork for Korea’s industrial strength to shape, at last, the rules of world trade and capital markets.

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